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Case No: 25NNCV09402

Trial Date: UNSET

Case Name: LARRY OSBORNE, et al. v. LAC VERDUGO OPERATIONS, et al.

TENTATIVE RULING ON MOTION TO COMPEL ARBITRATION

RELIEF REQUESTED

Defendants – (1) LAC Verdugo Operations, LLC d/b/a Glendale Post Acute Center; (2) LAC SNF, LLC; (3) Manhattan Five Partners, LLC; and (4) Win-Win Enterprises, LLC – move for an order compelling arbitration pursuant to Code of Civil Procedure (CCP) §§ 1281.2, 1281.4, 1292.8, 1295 and the Federal Arbitration Act (FAA), 9 U.S.C. § 1 et seq.

PROCEDURAL

Moving Party: Defendants – (1)

LAC Verdugo Operations, LLC d/b/a Glendale Post Acute Center; (2) LAC SNF, LLC; (3) Manhattan Five Partners, LLC; and (4) Win-Win Enterprises, LLC. [Moving Defendants or Glendale Post Acute Defendants]

Responding Party: Plaintiffs –

Larry Osborne, Patricia Mondragon, Cindy Reyes, Cassandra Contreras, and Juan

Alvarado, Individually and as Successors-in-Interest, to MARY OSBORNE

Moving Papers: Notice/Motion

[Contains Arbitration Agreement (Exhibit B) and Jaqueline Laus Declaration (Exhibit C)]; Declaration of Luis Pages

Opposing Papers: Opposition

[Contains Cassandra Contreras Declaration]

Reply Papers: Reply

BACKGROUND

The instant action pertains to the alleged treatment/care, or lack thereof, when Mary Osborne (a 69-year-elder) stayed at two different skilled nursing facilities.

Plaintiffs – Larry Osborne, Patricia Mondragon, Cindy Reyes, Cassandra Contreras, and Juan Alvarado, Individually and as Successors-in-Interest, to Mary Osborne – brought the instant action on 12/31/2025.

The Complaint divides the Defendants into two different groups of Defendants based on the two skilled nursing facilities.

Defendants – (1) LAC Verdugo Operations, LLC d/b/a Glendale Post Acute Center; (2) LAC SNF, LLC; (3) Manhattan Five Partners, LLC; (4) Win-Win Enterprises, LLC – are referred to as the Glendale Post Acute Defendants in the Complaint (See Compl., ¶ 27), and they are the Moving Defendants for the instant motion to compel arbitration.

Defendants – (5) Montecito Heights Healthcare & Wellness Centre, LP d/b/a Montecito Heights Healthcare & Wellness; (6) Montecito Wellness GP, LLC; and (7) Rockport Administrative Services LLC – are referred to as the Montecito Healthcare & Wellness Centre Defendants (See Compl., ¶ 39), and they did not file the instant motion to compel arbitration, i.e., Non-Moving Defendants.

Plaintiffs' Complaint alleges four causes of action – (1) Negligence; (2) Violations of the Elder and Dependent Adult Civil Protection Act [Welf. & Instit. Code § 15600 et seq.]; (3) Violations of Resident Rights [Health & Safety Code § 1430(b)]; and (4) Wrongful Death.

It appears that the first three causes of action are survivor claims brought by the Plaintiffs as the successors-in-interest of Mary Osborne. (See Compl., ¶ 81.)

Further, it appears that the fourth cause of action (wrongful death) is brought by the Plaintiffs individually, i.e., in their personal capacity. (See Compl., ¶ 80.)

Moving Defendants seek to compel Plaintiffs to arbitration on the basis that Plaintiff/Decedent/Mary Osborne electronically signed the Resident-Facility Arbitration Agreement (Arbitration Agreement).

LEGAL STANDARD

Code of Civil

Procedure (CCP) § 1281.2, governing orders to arbitrate controversies, provides in pertinent part:

On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that:

(a) The right to compel arbitration has been waived by the petitioner; or

(b) Grounds exist for rescission of the agreement.

(CCP, § 1281.2(a)-(b).)

Under the Federal

Arbitration Act, arbitration agreements “shall be valid, irrevocable and enforceable, save upon such grounds that exist at law or in equity for the revocation of a contract.” (9 U.S.C. § 2.)

There is a strong

public policy in favor of arbitration of disputes and any doubts concerning the scope of arbitrable disputes should be resolved in favor of arbitration. (Moncharsh v. Heily & Blase (1992) 3 Cal.4th 1, 9 (“courts will ‘indulge every intendment to give effect to such proceedings.’”) (quotation omitted)). (See also AT&T Mobility, LLC v. Concepcion (2011) 563 U.S. 333, 339.)

TENTATIVE RULING

First, Second, and
Third Causes of Action

Existence of
Agreement/Authentication

It appears that the first three causes of action – (1) Negligence; (2) Violations of the Elder and Dependent Adult Civil Protection Act [Welf. & Instit. Code § 15600 et seq.]; and (3) Violations of Resident Rights [Health & Safety Code § 1430(b) – are survivor claims brought by the Plaintiffs as the successors-in-interest of Mary Osborne. (See Compl., ¶ 81.)

Moving Defendants seek to compel Plaintiffs to arbitration on the basis that Plaintiff/Decedent/Mary Osborne electronically signed an Arbitration Agreement.

The party seeking arbitration bears the initial burden of demonstrating the existence of an arbitration agreement. (Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC (2012) 55 Cal.4th 223, 236.) In ruling on a motion to compel arbitration, the court must first determine whether the parties actually agreed to arbitrate the dispute, and general principles of California contract law help guide the court in making this determination. (Mendez v. Mid-Wilshire Health Care Center (2013) 220 Cal.App.4th 534, 541; Victoria v. Superior Court (1985) 40 Cal. 3d 734, 835.)

Further as explained in Kostandian v. American Honda Motor Co., Inc.:

“With respect to the moving party’s burden to provide evidence of the existence of an agreement to arbitrate, it is generally sufficient for that party to present a copy of the contract to the court.” (Baker v. Italian Maple Holdings, LLC (2017)

13 Cal.App.5th 1152, 1160, 220 Cal.Rptr.3d 887.) Further, “unless there is a dispute over authenticity, it is sufficient for a party moving to compel arbitration to recite the terms of the governing provision.” (Sprunk v. Prisma LLC (2017) 14 Cal.App.5th 785, 793, 222 Cal.Rptr.3d 339.) Under Code of Civil Procedure section 1281.2, “the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists” “The statute does not require the petitioner to introduce the agreement into evidence. A plain reading of the statute indicates that as a preliminary matter the court is only required to make a finding of the agreement's existence, not an evidentiary determination of its validity.” (Condee v. Longwood Management Corp. (2001) 88 Cal.App.4th 215, 219, 105 Cal.Rptr.2d 597 (Condee).)

(Kostandian v. American Honda Motor Co., Inc. (2026) 120 Cal.App.5th 872, 879.)

Here, Moving Defendants meet their initial burden in demonstrating the existence of the Arbitration Agreement.

In relevant part, Moving Defendants submit a copy of the Arbitration Agreement (Exhibit B), a declaration from Jaqueline Laus, the facility representative who signed the Arbitration Agreement (Exhibit C), and the declaration of Luis Pages, an administrator of Glendale Post Acute Center who describes how OneSpan works with respect to obtaining Plaintiff, Mary Osborne's electronic signature.

The Arbitration Agreement (Exhibit B) contains two e-signatures by Plaintiff/Decedent, Mary Osborne, and the Arbitration Agreement contains an e-signature by the Facility (Glendale Post Acute Center) Representative, Jaqueline Laus.

Therefore, Moving Defendants [(1) LAC Verdugo Operations, LLC d/b/a Glendale Post Acute Center; (2) LAC SNF, LLC; (3) Manhattan Five Partners, LLC; (4) Win-Win Enterprises, LLC] meet their initial burden in demonstrating the existence of the Arbitration Agreement.

[The Court notes that the Arbitration Agreement, with respect to Moving Defendants, appears to only be signed by one Moving Defendant, LAC Verdugo Operations, LLC d/b/a Glendale Post Acute Center. However, the Court notes that Plaintiffs did not object on the basis that all of the Moving Defendants did

not sign the Arbitration Agreement. Further, the Court notes that even if Plaintiffs had objected, that argument would be unavailing. Article 2 of the Arbitration Agreement notes that the Arbitration Agreement applies to Glendale Post Acute Center's agents.

Further, under *Thomas v. Westlake*:

There are, however, "exceptions to the general rule that a nonsignatory ... cannot invoke an agreement to arbitrate, without being a party to the arbitration agreement." (*Westra*, supra, 129 Cal.App.4th at p. 765, 28 Cal.Rptr.3d 752.) One such exception provides that when a plaintiff alleges a defendant acted as an agent of a party to an arbitration agreement, the defendant may enforce the agreement even though the defendant is not a party thereto.

(*Thomas v. Westlake* (2012) 204 Cal.App.4th 605, 614.)

Here, Plaintiffs' Complaint alleges that each Defendant was the agent of every other Defendant. (See Compl., ¶ 17.)]

Therefore, Moving Defendants meet their initial burden in demonstrating the existence of the Arbitration Agreement.

Contesting Authentication

Plaintiffs argue that Moving Defendants fail to authenticate Mary Osborne's electronic signature.

Most of Plaintiffs' arguments on Moving Defendants failing to authenticate Mary's signature are unavailing; however, since one of Plaintiffs' arguments appears to potentially have some merit, the Court will hear argument.

As explained in *Kostandian v. American Honda Motor Co., Inc.*:

"If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement. [Citation.] The opposing party can do this in several ways. For example, the opposing party may testify under oath or declare under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement." (Gamboa v. Northeast Community Clinic (2021) 72 Cal.App.5th 158, 165, 286 Cal.Rptr.3d 891 (Gamboa).)

"If the opposing party meets its burden of producing evidence, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties. The burden of proving the agreement by a preponderance of the evidence remains with the moving party." (Gamboa, supra, 72 Cal.App.5th at pp. 165–166, 286 Cal.Rptr.3d 891.)

(Kostandian v. American Honda Motor Co., Inc. (2026) 120 Cal.App.5th 872, 880-881.)

Contesting Authentication –
Luis Pages Declaration

Plaintiffs first attack the authenticity of the Arbitration Agreement by attacking the Luis Pages Declaration submitted with Moving Defendants' motion.

Luis Pages is an Administrator at Glendale Post Acute Center (the Facility), and his declaration explains the Facility's process of using OneSpan, a software similar to DocuSign, to obtain electronic signatures from residents. (See Pages Decl., ¶¶ 1-11.)

Plaintiffs argue that Pages did not witness Mary Osborne review or sign the Arbitration Agreement; however, this argument is unavailing because the Pages Declaration is not submitted for the purpose of demonstrating that Pages witnessed Osborne sign the Arbitration Agreement.

Pages' Declaration instead appears to be for the general purpose of explaining the process/software that

is used to obtain e-signatures from residents.

Pages explains that the Facility obtained Mary's e-signature in-person, and Moving Defendants instead appear to submit the Jaqueline Laus Declaration (Exhibit C) for the purpose of attesting to, or witnessing/obtaining, this specific resident's, Osborne's, electronic signature, not Pages. (See Pages, Decl., ¶¶ 12-13.)

Plaintiffs also attack the Pages Declaration on the basis that Pages identifies two different OneSpan processes – remotely or in-person – to obtain a signature, yet Pages does not state which process was used to obtain Ms. Osborne's signature.

Plaintiffs' argument is unavailing because Pages does in fact indicate that the in-person e-signature process was used for Ms. Osborne. (See Pages Decl., ¶¶ 12-13.)

Contesting Authentication –
Cassandra Contreras

Plaintiffs also attack Moving Defendants' authentication of the Arbitration Agreement by submitting the Declaration of Cassandra Contreras.

By and large, Plaintiffs submitting the Cassandra Contreras Declaration is largely unhelpful.

Cassandra explains in relevant part how:

she was present with Ms. Osborne during Osborne's admission to the Facility on August 31, 2025; (Contreras Decl., ¶ 3.)

that she met with a facility representative who gave her a business card for Janice Laus, not Jaqueline Laus; (Id., ¶ 4-5.)

that admission documents were presented to her as paperwork and that she signed them using wet-ink; (Id.,

¶ 6.)

that she never signed any admission documents electronically; (Id., ¶ 7.)

that at no time while she was with Ms. Osborne did a facility representative ask Ms. Osborne to review/sign documents; (Id., ¶ 9.)

and that by the time she completed the wet-ink admission paperwork on August 31, 2025, she understood that the paperwork necessary to admit Ms. Osborne had been completed. (Id., ¶ 10.)

The Court notes that the problem with the Cassandra Contreras Declaration is that the moving papers indicate that the Admissions Agreement (Exhibit A) and the Arbitration Agreement (Exhibit B) were allegedly electronically signed by Mary Osborne on 9/3/2025.

Therefore, the Court has concerns about the Contreras Declaration attacking the authenticity of the Arbitration Agreement that was allegedly electronically signed on 9/3/2025 by Mary Osborne when Contreras discusses events that occurred on August 31, 2025.

Moving Defendants are basing their motion to compel on Plaintiff/Decedent/Mary Osborne's signature on the Arbitration Agreement; Moving Defendants are not basing their motion on Contreras signing anything.

Contesting Authentication –
Jaqueline Laus

Plaintiffs also attack Moving Defendants' authentication of the Arbitration Agreement by arguing that the Facility Representative's (Jaqueline Laus) declaration conflicts with the Arbitration Agreement's time stamps.

For the reasons explained below, Plaintiffs may have a successful argument with respect to the Jaqueline

Laus Declaration and the discrepancy amongst the time stamps on the Arbitration Agreement.

The Arbitration Agreement contains two e-signatures [one pertaining to medical malpractice and one pertaining to all other claims] by Mary Osborne. (Exhibit B.)

Mary Osborne allegedly e-signed the Arbitration Agreement at 4:00:59 p.m. on 9/3/2025 [medical malpractice claims] and at 4:01:00 p.m. on 9/3/2025 [all other claims]. (Exhibit B.)

Moving Defendants also submit the Jaqueline Laus Declaration (Exhibit C), which is a form-declaration with some parts of it pre-typed, and other parts of it filled in by Jaqueline Laus.

In relevant part of the Jaqueline Laus Declaration, Laus attests that:

On or about 9/2/2025 at approximately 4:23 p.m. she met with Mary Osborne (resident) to go over the admissions process; (Laus Decl., Ex. C, ¶ 2.)

The arbitration agreement was explained to the resident; (Id., ¶ 2.)

It was explained that the arbitration agreement was not a precondition to admission, it was optional, and that if the resident signed, she had 30 days to rescind the agreement in writing; (Id., ¶ 3.)

Following the explanation, the Resident agreed to and signed the Agreement. (Id., ¶ 4.)

Beneath the first four paragraphs in the Laus Declaration, there are two relevant sections to the declaration.

The first section states:

I declare under penalty of perjury that the foregoing

is true and correct.

Executed on 09-02-2025 (date), at Glendale (city),
California.

(Laus Decl., Ex. C, p. 2.)

The second section includes
the Name of Declarant (Jaqueline Laus), and it indicates that Jaqueline Laus
e-signed her declaration on 9/3/2025 at 4:14:49 p.m.

The Court has concerns about the
authentication/credibility of the Laus Declaration (Exhibit C) and the
Arbitration Agreement (Exhibit B).

Before explaining the Court's
concerns, the Court first explains a potential interpretation of the
Arbitration Agreement and the Laus Declaration in a light most favorable to
Moving Defendants.

Plaintiffs argue that there is
a discrepancy between the Arbitration Agreement and the Laus Declaration
because the Arbitration Agreement was signed by Mary Osborne on 9/3/2025;
however, the Laus Declaration states that on 9/2/2025 Laus met with Mary to
explain the arbitration agreement and following the explanation, the Resident
agreed to and signed the Arbitration Agreement.

Plaintiffs appear to be
interpreting the Laus Declaration as Laus stating that Laus immediately
obtained Mary's signature on 9/2/2025 after explaining the arbitration
agreement to Mary on 9/2/2025; therefore, since Mary's signature is signed on
the Arbitration Agreement on 9/3/2025, the Laus Declaration must lack
credibility because Mary's signature was not in fact obtained on 9/2/2025 like
the Laus Declaration attests.

Problematic with Plaintiffs'
assumption is that technically the Laus Declaration does not
state when Laus obtained Mary's signature on the Arbitration Agreement.

Or to phrase it differently, although

Laus explained that she met with Mary on 9/2/2025 to explain the arbitration agreement (Laus Decl., ¶ 2), technically paragraph 4 of the Laus declaration does not state when Laus obtained Mary's signature (Laus Decl., ¶ 4.)

Paragraph 4 only states that following the explanation of the Arbitration Agreement, the Resident Agreed to and signed the Arbitration Agreement. (Laus Decl., ¶ 4.)

Therefore, in theory, Laus could have explained the Arbitration Agreement on 9/2/2025, and following that explanation, Laus obtained Mary's signature on 9/3/2025 as the Arbitration Agreements indicate.

Or to phrase it differently, since Mary's signature on the Arbitration Agreement is on 9/3/2025, technically Mary's signature was obtained "following" the explanation on 9/2/2025. Therefore, under that interpretation, there is no discrepancy in the timeline of events in the Laus Declaration and Mary's time stamps on the Arbitration Agreement.

However, where there seemingly appears to be a discrepancy in the timeline of events is in the two sections of the Laus Declaration pertaining to the execution date and Laus' e-signature on her declaration.

The Laus Declaration clearly indicates that on 9/2/2025 Laus met with Mary Osborne to go over the admissions process and arbitration agreement. (Laus Decl., Ex. C, ¶ 2.)

Following Laus' explanation, Laus explains that the Resident agreed to and signed the Agreement. (Laus Decl., Ex. C, ¶ 4.)

Although the Laus declaration does not state exactly when, following the explanation, the resident agreed to and signed the agreement, the Court has a hard time in justifying how the last two sections on the Laus Declaration contains different dates.

The first section states:

I declare under penalty of perjury that the foregoing
is true and correct.

Executed on 09-02-2025 (date), at Glendale (city),
California.

(Laus Decl., Ex. C, p. 2.)

The second section includes
the Name of Declarant (Jaqueline Laus), and it indicates that Jaqueline Laus
e-signed her declaration on 9/3/2025 at 4:14:49 p.m.

Additionally, about halfway
down the second page of the Laus Declaration, a line is left blank as to what
date the Arbitration Agreement was signed.

What the Court has a difficult
time justifying is the following: How does the Laus Declaration state "under
the penalty of perjury that the foregoing is true and correct" and include an
execution date of 9/2/2025, yet simultaneously Laus's signature on her
declaration is on 9/3/2025?

Based on an execution date of
9/2/2025 that indicates "the foregoing is true and correct," what is it that is
being declared under penalty of perjury is true and correct?

Based on the Court's
understanding of the definition of foregoing, foregoing is defined as
previously stated, written, or occurring before something else.

If the foregoing is true and
correct, then presumably the foregoing is referring to the statements above in
the Laus Declaration, and in the Laus Declaration it states that the Resident
agreed to and signed the Agreement. (Laus Decl., Ex., C, ¶ 4.)

Therefore, based on the
execution date of 9/2/2025, if the foregoing is in fact true and correct, then
it means that the arbitration agreement was signed on 9/2/2025.
However, the problem is that the Arbitration Agreement was not signed until
9/3/2025.

Therefore, how is there not a credibility/authentication problem if the Laus Declaration is stating that the Arbitration Agreement was signed on 9/2/2025 (Exhibit C), yet the Arbitration Agreement (Exhibit B) itself is indicating that Laus signed it on 9/3/2025?

Further, the Court notes that Laus' e-signature on her declaration was signed on 9/3/2025.

Although Laus' 9/3/2025 e-signature on her declaration would make sense in the context of Mary's e-signature on the Arbitration Agreement on 9/3/2025, what the Court cannot understand is why/how the Laus declaration has an execution date of 9/2/2025 under penalty of perjury.

When it is being declared under penalty of perjury that the foregoing is true and correct, with an execution date of 9/2/2025, presumably something is being declared under penalty of perjury on the execution date of 9/2/2025.

How is the execution date of 9/2/2025 (under penalty of perjury) not attesting to the foregoing, i.e., that the Resident agreed and signed the Agreement on 9/2/2025?

The Court will hear argument because it does not understand how the Laus Declaration is not lacking in credibility when it seemingly declares that the resident agreed and signed the agreement on 9/2/2025, yet the Arbitration Agreement indicates that Mary signed the Arbitration Agreement on 9/3/2025.

Further, although Plaintiffs mentioned the discrepancy amongst the time stamps on the Arbitration Agreement and the Laus Declaration, Moving Defendants' reply argues that minor administrative discrepancies do not invalidate an otherwise properly executed arbitration agreement. However, Moving Defendants provide no legal authority for their argument.

The Court will hear argument because if the opposing party (Plaintiffs) meets their burden in producing evidence, the Moving Defendants must establish with admissible evidence a valid

Arbitration Agreement between the parties by a preponderance of the evidence. (Kostandian v. American Honda Motor Co., Inc. (2026) 120 Cal.App.5th 872, 881 citing Gamboa v. Northeast Community Clinic (2021) 72 Cal.App.5th 158, 165.)

Here, Plaintiffs' evidence in opposition seems to rely on the Contreras Declaration, and Plaintiffs seem to rely on pointing out the discrepancies in the Moving Defendants' evidence.

Although Plaintiffs do not disagree with the fact that Mary's e-signature is on the Arbitration Agreement, Plaintiffs do not believe Mary actually signed it because Cassandra Contreras explained that she signed papers on August 31, 2025 using wet-ink, and no facility representative asked Mary to review/sign documents. Cassandra Contreras believed the papers she signed via wet-ink on August 31, 2025 were the admissions paperwork necessary to admit Mary. (Contreras Decl., ¶¶ 7-10 & 12-13.)

Under Fabian:

"[T]he burden of authenticating an electronic signature is not great." (Ruiz, supra, 232 Cal.App.4th at p. 844, 181 Cal.Rptr.3d 781; Civ. Code § 1633.9, subd. (a) [an electronic signature is attributable to a person if it is the act of the person]; Evid. Code, § 1400, subd. (a); People v. Skiles (2011) 51 Cal.4th 1178, 1187, 126 Cal.Rptr.3d 456, 253 P.3d 546 [the means of authenticating a writing *1068 are not limited to those specified in the Evid. Code].) The party seeking authentication may carry its burden "in any manner," including by presenting evidence of the contents of the contract in question and the circumstances surrounding the contract's execution. (Ruiz, at p. 844, 181 Cal.Rptr.3d 781.)

(Fabian v. Renovate America, Inc. (2019) 42 Cal.App.5th 1062, 1067-68.)

"The trial court sits as the trier of fact, weighing all the affidavits, declarations, and other documentary evidence, and any oral testimony the court may receive at its discretion, to reach a final determination." (Ruiz v. Moss Bros. Auto Group, Inc. (2014) 232 Cal.App.4th 836, 842 citing Engalla v. Permanente Med. Group, Inc. (1997) 15 Cal.App.4th 951, 972.)

The Court will hear argument because Moving Defendants' evidence does not seem to explicitly mention anyone witnessing Mary sign the Arbitration Agreement.

Although it does not appear that Moving Defendants have to necessarily witness Mary sign the Arbitration Agreement, it appears that Moving Defendants have to be able to attribute the electronic signature to Mary since Plaintiffs credibly contested the authenticity of Mary's signature. (Fabian v. Renovate America, Inc. (2019) 42 Cal.App.5th 1062, 1067-68.)

Even though Laus did not sign her declaration until 9/3/2025, the Laus Declaration states (under penalty of perjury) that her declaration was executed on 9/2/2025, and the Laus' Declaration states that the Resident agreed to and signed the Arbitration Agreement. By the Laus Declaration declaring that it was executed on 9/2/2025, the Court has a difficult time deciphering the Laus Declaration in any other way than declaring that on 9/2/2025 the Resident agreed to and signed the agreement on 9/2/2025. If the agreement was signed on 9/2/2025, then Mary's e-signature on the Arbitration Agreement on 9/3/2025 doesn't seem to make any sense, and it seems like there could be a lack of credibility.

The Court to hear argument as to whether or not it should continue the motion to allow the parties to conduct discovery or set an evidentiary hearing. Can Moving Defendants provide or point to any further evidence to explain this discrepancy? Is the Contreras declaration credible? Does Contreras have the papers that she allegedly signed on 8/31/2025?

If the Court determines that Moving Defendants do not successfully demonstrate the existence of their arbitration agreement by a preponderance of the evidence, then Moving Defendants' entire motion can be denied.

First, Second, and Third Causes
of Action – Continued

If the Court were to find that Moving Defendants successfully authenticated the Arbitration Agreement, and if the Court does not find the Arbitration Agreement unconscionable, then it appears that Moving Defendants have successfully demonstrated that the first three causes of action can be compelled to arbitration.

Once the Court concludes an arbitration agreement exists, it must then consider whether the agreement covers the claims at issue. (Omar v. Ralphs Grocery (2004) 118 Cal.App.4th 966, 960.)

Plaintiffs' first three claims appear to be brought as successors-in-interest, and the first three causes of action are for: (1) Negligence; (2) Violations of the Elder and Dependent Adult Civil Protection Act [Welf. & Instit. Code § 15600 et seq.]; and (3) Violations of Resident Rights [Health & Safety Code § 1430(b)].

Articles 2, 4, and 7 of the Arbitration Agreement (Exhibit B), as well as the portions of the Arbitration Agreement written in red bolded all-caps, successfully cover the first three causes of action in Plaintiffs' Complaint.

Although Plaintiffs' opposition argues that the third cause of action (Violation of Health & Safety Code § 1430(b)) cannot be compelled to arbitration because Health & Safety Code § 1430(b)(1)(C) states that an agreement by a resident of a skilled nursing facility waiving the resident's rights to sue pursuant to this section is void as contrary to public policy, the Court does not find Plaintiffs' argument availing.

As Moving Defendants' Reply points out, Article 7 of the Arbitration Agreement states that this agreement is governed by the Federal Arbitration Act (9 U.S.C. Sections 1-16).

Moving Defendants' Reply points out that Valley View Health Care, Inc. v. Chapman (2014) 992 F.Supp.2d 1016, 1040-1041 explains that the last sentence of Health & Safety Code § 1430(b), that prohibits arbitration of Patient Bill of Rights claims, violates and is preempted by the FAA.

Therefore, Plaintiffs' argument that the third cause of action cannot be compelled to arbitration is unavailing.

Fourth Cause of Action (Wrongful Death)

If the Court were to find that Moving Defendants successfully authenticated the Arbitration Agreement, and if the Court does not find the Arbitration Agreement unconscionable, then it appears that Moving Defendants' motion to compel arbitration should not be compelled at the

current juncture and Plaintiffs should be allowed leave to amend so this Court can determine whether Plaintiffs' claim for wrongful death is subject to arbitration. (Holland v. Silverscreen Healthcare, Inc. (2025) 18 Cal.5th 364, 385, fn. 4.)

Plaintiffs' fourth cause of action is for wrongful death, and it is brought by Plaintiffs individually, in their personal capacity.

Further, the instant Arbitration Agreement is allegedly signed by Mary Osborne, decedent, and it is not signed by Mary's successors in interest.

Moving Defendants' Reply argues that the instant wrongful death claim can be compelled to arbitration based on Mary's signature and Article 4 of the Arbitration Agreement that states:

This Agreement shall be binding for any and all disputes arising out of the Resident's residency at the Facility, except for disputes pertaining to collections or evictions. This Agreement is binding on all parties, including the Resident's representatives, executors, family members, and heirs who bring any claims individually or in a representative capacity. The Resident's representatives, agents, executors, family members, successors in interest and heirs who execute this Agreement below on the signature line are doing so not only in their representative capacity for the Resident, but also in their individual capacity and thus agree that any claims brought individually by any such representatives, agents, executors, family members, representatives, successors in interest and heirs are subject to binding arbitration. This Agreement may be rescinded by written notice within thirty (30) days of signature.

(Ex., B., Art. 4.)

Problematic with Moving Defendants' argument that Mary's signature and Article 4 can compel Plaintiffs' wrongful death claim to arbitration is that Moving Defendants' Reply does not address Plaintiffs' Opposition with respect to Holland v. Silverscreen Healthcare, Inc. (2025) 18 Cal.5th 364.

Moving Defendants seem to be under the impression that they can compel the wrongful death claim to arbitration simply based on Mary/Deceent's signature.

In California, wrongful death claims, unlike survivor claims, are not

derivative of the decedent's own claims; they are, rather, independent statutory actions accruing to a decedent's heirs for pecuniary injuries suffered by the loss of a relative. (*Holland v. Silverscreen Healthcare, Inc.* (2025) 18 Cal.5th 364, 375 citing *Ruiz v. Podolsky* (2010) 50 Cal.4th 838, 841 & 844 (*Ruiz*).) Because wrongful death claimants are entitled to sue in their own right, not merely as successors in interest to their decedent, they are not ordinarily bound by any arbitration agreement the decedent may have signed. (*Id.*)

However, *Ruiz* identified an exception for certain wrongful death claims based on medical malpractice.

Ruiz held that if a patient agreed to arbitrate medical malpractice disputes in compliance with the arbitration provision of the Medical Injury Compensation Reform Act (MICRA) (codified as Code Civ. Proc., § 1295), the patient-provider agreement may bind the patient's heirs in a wrongful death action, even if the heirs themselves never agreed to arbitration. (*Holland v. Silverscreen Healthcare, Inc.* (2025) 18 Cal.5th 364, 370 citing *Ruiz v. Podolsky* (2010) 50 Cal.4th 838, 849-850.)

However, as explained in *Holland*, *Ruiz* does not apply to every type of wrongful death claim brought against a health care provider, particularly a provider like a skilled nursing facility that provides both medical care and day-to-day custodial care of dependent adults. (*Holland v. Silverscreen Healthcare, Inc.* (2025) 18 Cal.5th 364, 370-371.) *Ruiz* does not require plaintiffs to arbitrate disputes about a facility's neglect of a resident's basic welfare and safety needs. (*Id.*)

Here, Plaintiffs' Complaint alleges that Defendants are skilled nursing facilities (Compl., ¶ 1), and generally speaking, the Complaint appears to allege that Defendants provided both medical care and day-to-day custodial care.

In the context of a skilled nursing facility, the operative question is whether such duties are owed by virtue of being a medical services provider or by virtue of being the custodian of a dependent adult. (*Holland v. Silverscreen Healthcare, Inc.* (2025) 18 Cal.5th 364, 381.) Claims premised on the manner in which skilled nursing or other long-term care facilities protect the basic welfare and safety of residents fall outside the scope of

section 1295(a), and thus outside the scope of Ruiz. (Id.)

Here, Plaintiffs' Opposition argues that the Complaint alleges custodial neglect and not negligence based on professional neglect as a health care provider in their capacity as providers.

Problematic here is that Moving Defendants' Reply doesn't address this issue, and the Court cannot easily determine, based on the pleadings, if the Plaintiffs' wrongful death claim is based on negligent rendering of medical services (in which case Ruiz applies and the claim can be compelled to arbitration), or instead the based on the facility's nonmedical/custodial neglect (in which case it cannot be compelled to arbitration). (See Compl., ¶¶ 79-89.)

The Court will hear argument. If the Court were to find that Moving Defendants successfully authenticated the Arbitration Agreement, and if the Court does not find the Arbitration Agreement unconscionable, and if at the hearing the parties do not convincingly explain the allegations [by citing to specific paragraphs] in the Complaint in a manner where the Court can determine what the wrongful death claim is based on, then the Court is inclined to allow amendment of the Complaint to specify.

Further, If the Court were to find that Moving Defendants successfully authenticated the Arbitration Agreement, and if the Court does not find the Arbitration Agreement unconscionable, and if at the hearing the parties demonstrate that the wrongful death claim is based on the negligent rendering of the facility's nonmedical/custodial neglect, then the Court will not compel the wrongful death claim to arbitration.

Additionally, If the Court were to find that Moving Defendants successfully authenticated the Arbitration Agreement, and if the Court does not find the Arbitration Agreement unconscionable, and if at the hearing the parties demonstrate that the wrongful death claim is based on the negligent rendering of the facility's medical services, then the Court will compel the wrongful death claim to arbitration.

Lastly, If the Court were to find that Moving Defendants successfully authenticated the Arbitration Agreement, and if the Court does not find the Arbitration Agreement unconscionable, and if at the hearing the parties demonstrate that the wrongful death claim is based on both

the negligent rendering of medical services and the facility's nonmedical/custodial neglect, the Court will hear argument because Holland does not make it clear what the Court is to do if the claim is based on both theories.

Defense to Arbitration – Unconscionability – Procedural and Substantive

If the Court were to find that Moving Defendants successfully authenticated the Arbitration Agreement, but if the Court finds the Arbitration Agreement unconscionable, then the Court will not allow leave to amend and Moving Defendants' motion to compel arbitration will be denied.

Unconscionability

generally includes the absence of meaningful choice on the part of one of the parties together with contract terms that unreasonably favor the other party. (Carboni v. Arrospide (1991) 2 Cal.App.4th 76, 82-83.) Unconscionability has both a "procedural" and a "substantive" element. (A & M Produce Co. v. FMC Corp. (1982) 135 Cal.App.3d 473, 486.)

An agreement to arbitrate is unenforceable only if both procedural and substantive unconscionability is shown. (Stirlen v. Supercuts, Inc. (1997) 51 Cal.App.4th 1519, 1533.)

Plaintiff

has the burden of proving both procedural and substantive unconscionability. (Crippen v. Central Valley RV Outlet, Inc. (2004) 124 Cal.App.4th 1159, 1165.)

Procedural

Unconscionability

“The

procedural element focuses on two factors: oppression and surprise. Oppression arises from an inequality of bargaining power which results in no real negotiation and an absence of meaningful choice.... Surprise involves the extent to which the terms of the bargain are hidden in a “prolix printed form” drafted by a party in a superior bargaining position.’ ” (Crippen v. Central Valley RV Outlet (2004) 124 Cal.App.4th 1159, 1165 quoting Olsen v. Breeze, Inc. (1996) 48 Cal.App.4th 608, 621.)

“[T]here

is no general rule that a form contract used by a party for many transactions is procedurally unconscionable.” (Crippen v. Central Valley RV Outlet (2004) 124 Cal.App.4th 1159, 1165.)

“The circumstances

relevant to establishing oppression include, but are not limited to (1) the amount of time the party is given to consider the *591 proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party's review of the proposed contract was aided by an attorney.” (Cisneros Alvarez v. Altamed Health Services Corporation (2021) 60 Cal.App.5th 572, 590-91 quoting OTO, L.L.C. v. Kho (2019) 8 Cal.5th 111, 126-27.)

With respect to

procedural unconscionability, Plaintiffs argue that the first question is whether the Arbitration Agreement was a contract of adhesion – a standardized contract drafted and imposed by the party with superior bargaining power, leaving the other party only the opportunity to accept or reject it.

Plaintiffs argue

that the Arbitration Agreement was oppressive and surprising; however, assuming the Court finds that Moving Defendants authenticated the Arbitration Agreement, then the Court does not find Plaintiffs' arguments availing. [The Court notes that if the Arbitration Agreement is not authenticated, then Moving Defendants' motion to compel arbitration would be denied.]

Plaintiffs argue

that Mary Osborne had experienced repeated hospitalizations for pancreatitis, sepsis, and repeated complications by late summer 2025 and that Mary was largely bedbound and medically fragile.

The Court does not

find this argument availing because the Court fails to understand what that argument has to do with the state of mind of Mary Osborne and how it affects oppression or surprise.

Although Plaintiffs

state that Mary was medically fragile, they do not offer any evidence or legal arguments on lack of mental capacity by Mary Osborne.

Further,

Plaintiffs argue that Contreras was handed a voluminous stack of admission documents and that no one explained them to her; however, the Court fails to see how what Contreras did, or did not, experience on 8/31/2025 with respect to alleged admission documents has to do with what Mary did, or did not, experience when allegedly signing the documents at a date in which Contreras was not with Mary.

Plaintiffs argue

that the Arbitration Agreement was not explained to Mary; however, according to the Laus Declaration, the Arbitration Agreement was explained to Mary, and it was explained that the Arbitration Agreement was not a precondition for admission, it was optional, and even if the resident signed it, the resident had 30 days within signature to rescind the agreement in writing. (Laus Decl., Ex., C, ¶¶ 2-3.)

Further, although

Plaintiffs argue that it is unclear what Mary said in response to the Facility's explanation, the Laus Declaration indicates that the Resident agreed to and signed the agreement. (Laus Decl., Ex. C, ¶ 4.)

Plaintiffs argue Moving

Defendants do not establish what language was used to explain the agreement; however, the Laus Declaration states that the agreement was explained in English. (Laus Decl., Ex. C, ¶ 2.)

Further,

Plaintiffs argue that Moving Defendants do not establish whether Mary Osborne understood that elder-abuse, resident-rights, and wrongful-death claims were included.

The Court does not

find that argument availing.

"It is well established, in the absence of fraud, overreaching or excusable neglect, that one who signs an instrument may not avoid the impact of its terms on the ground that he failed to read the instrument before signing

it.” (Randas v. YMCA of Metropolitan Los Angeles (1993) 17 Cal.App.4th 158, 163 quoting Hulsey v. Elsinore Parachute Center (1985) 168 Cal.App.3d 333, 339.)

Although Plaintiffs argue that the Facility drafted the form, controlled the admissions process, selected the electronic platform, and retained the resulting records, the Court does not find those arguments availing.

“[T]here is no general rule that a form contract used by a party for many transactions is procedurally unconscionable.” (Crippen v. Central Valley RV Outlet (2004) 124 Cal.App.4th 1159, 1165.)

Further, even though the Facility drafted the form, and even though there is no indication that Mary's review of the agreement was aided by an attorney, the Arbitration Agreement was optional, and in bold lettering at the top of the Arbitration Agreement it is indicated that the agreement is not required to be signed as a condition of admission to the facility. (See Ex. B.)

Further, there were no time pressures exerted on Mary to consider and sign the Arbitration Agreement because it was optional and not a condition for admission, and if the resident signed the agreement, the Arbitration Agreement allowed for rescission by written notice within thirty (30) days of signature. (See Ex., B, Art. 4.) Further, the Laus Declaration explains that Laus explained to the resident it could be rescinded within 30 days in writing. (Laus Decl, Ex., C, ¶ 3.)

Not only does there not appear to be any oppression, but there also does not appear to be any surprise.

Further, CCP § 1295 pertains to arbitration of medical malpractice claims, and under CCP § 1295(e), “Such a contract is not a contract of adhesion, nor unconscionable nor otherwise improper, where it complies with subdivisions (a), (b), and (c) of this section.” (CCP, § 1295(e).)

Here, the Arbitration Agreement appears to comply with CCP § 1295(a)-(c), and Plaintiffs' Opposition does not argue otherwise.

Further, there does not appear to be surprise because the Arbitration Agreement is separate from the Admissions Agreement, and the Arbitration Agreement is indicated in bold, all-caps lettering at the top of the agreement.

Further, at the top of the Arbitration Agreement in bold lettering the agreement indicates that it is not required to be signed as a condition of admission.

Further, the Arbitration Agreement requires signatures in two different sections of the arbitration agreement pertaining to medical malpractice claims and all other claims. Additionally, the arbitration agreement calls attention to agreeing to have medical malpractice claims, and all other claims, decided by arbitration by putting those notices in red bolded all-caps.

Overall, the Court does not find there to be procedural unconscionability.

An agreement to arbitrate is unenforceable only if both procedural and substantive unconscionability is shown. (*Stirlen v. Supercuts, Inc.* (1997) 51 Cal.App.4th 1519, 1533.)

Since Plaintiffs have the burden of showing both procedural and substantive unconscionability, and since Plaintiffs do not demonstrate procedural unconscionability, the Court will not analyze Plaintiffs' arguments on substantive unconscionability.

Here, there is no unconscionability because Plaintiffs do not demonstrate procedural unconscionability.

Two Facility Case

Plaintiffs argue that this two facility case presents a substantial risk of conflicting rulings.

Plaintiffs argue that CCP § 1281.2(c) permits a court to refuse to compel arbitration or stay arbitration where there is a possibility of conflicting rulings on common issues of law or fact.

Under CCP § 1281.2(c):

A party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact. For purposes of this section, a pending court action or special proceeding includes an action or proceeding initiated by the party refusing to arbitrate after the petition to compel arbitration has been filed, but on or before the date of the hearing on the petition. This subdivision shall not be applicable to an agreement to arbitrate disputes as to the professional negligence of a health care provider made pursuant to Section 1295.

(CCP, §
1281.2(c).)

In relevant part
of CCP § 1281.2(d):

If the court determines that there are other issues between the petitioner and the respondent which are not subject to arbitration and which are the subject of a pending action or special proceeding between the petitioner and the respondent and that a determination of such issues may make the arbitration unnecessary, the court may delay its order to arbitrate until the determination of such other issues or until such earlier time as the court specifies.

If the court determines that a party to the arbitration is also a party to litigation in a pending court action or special proceeding with a third party as set forth under subdivision (c), the court (1) may refuse to enforce the arbitration agreement and may order intervention or joinder of all parties in a single action or special proceeding; (2) may order intervention or joinder as to all or only certain issues; (3) may order arbitration among the parties who have agreed to arbitration and stay the pending court action or special proceeding pending the outcome of the arbitration proceeding; or (4) may stay arbitration pending the outcome of the court action or special proceeding.

(CCP, §
1281.2(d).)

Plaintiffs' opposition argues that the Court should refuse to compel

arbitration because if the Glendale Post Acute Defendants' claims proceed before arbitration while the Montecito Healthcare & Wellness Centre Defendants' claims proceed before a jury trial, each tribunal will be asked to decide different factual issues and the Glendale Defendants can blame the Montecito Defendants in arbitration and the Montecito Defendants can blame the Glendale Defendants in court.

In reply, Moving Defendants argue that since Article 7 of the Arbitration Agreement states that the agreement is governed by the FAA, and since Article 6 of the Arbitration Agreement states that "California Code of Civil Procedure §1281.2(c) is excluded from this Agreement as the parties mutually desire to have any and all disputes submitted to binding arbitration and do not want any claims not subject to arbitration to impede any and all other claims from being ordered to binding arbitration," then this Court lacks the discretion to invoke CCP § 1281.2(c).

Moving Defendants' Reply also argues that the leading case on the issue of whether or not the Court should apply 1281.2(c) is *Cronus Investments, Inc. v. Concierge Services* (2005) 35 Cal.4th 376.

Here, the Court will hear argument. The Court cannot quite decipher either party's arguments.

Overall

The Court to hear argument on the issues discussed above.